TOGETHER , WE RISE

Budget Update and Financial Reporting

Engaging Our Community, Prioritizing Our Students

Presented to the Portland Public School Board of Directors
July 22, 2025

Agenda

- Report on **Close of Session Budgetary Impacts**
- Introduce Improvements to **Financial Reporting**
- Provide Periodic **Informational Sessions**
- **Discussion**

Close of Session Budgetary Impacts

Funding for Schools

- ➔ **$11.36 billion** for the **State School Fund**
- ➔ **Decrease** in both **Student Investment Account** and **High School Success** Grants due to June state revenue forecast
- ➔ 20% **reduction to Outdoor School** funding
- ➔ **Federal program funding is overall stable with some changes**
  - ◆ Title I funds are flat and have been allocated to schools
  - ◆ IDEA funding for students with disabilities is level
  - ◆ Funding for professional development, preschool, migrant and multilingual learners is reduced, amounts TBD
  - ◆ Changes to assurances

Other Legislation

Passed

- ➔ Unemployment for striking workers
- ➔ Student cell phone restrictions
- ➔ New “accountability” requirements administered by the Oregon Department of Education

Not Passed

- ➔ Many other unfunded mandates were not passed due in part to dedicated and collaborative efforts to communicate potential challenges and impacts

Financial Reporting

Roles in Budget Development

Superintendent
Define vision and priorities;
set and staff organizational structure;
propose budget

Cabinet Leaders
Inform and enable vision and priorities; lead coordinated initiatives

Cross-Functional Teams
Coordinate process and produce deliverables

Principals
Inform priorities; implement staffing and budget



Board of Education
Set direction; serve as Budget Committee;
approve levies and appropriations;
receive public comment

Community Budget Review Committee
Review budget and local option levy;
make recommendations to the Board

Tax Supervising and Conservation Commission
Certify approved budget and tax levies

Students, PPS Teams, Community Members, Partners
Inform priorities, elevate insights and impacts

Budget Process

BUDGET BUILDING
April - June
Propose Budget
CBRC Report
Approve Budget
Public Comment & Hearing
TSCC Certify Budget
Adopt Budget

FISCAL NEW YEAR
July - September
Implement & Monitor Budget
Close & Audit Prior Year



BUDGET PLANNING
January - March
Budget Worksessions
Conduct Budget Outreach
Finalize Priorities
Implement Workforce Plan

BUDGET AWARENESS
October - December
Adopt Budget Calendar
Forecast Enrollment & Finances
Conduct Needs Assessment
Engage with Communities

Financial Updates and Reporting Improvements

- ➔ Move from quarterly to **monthly financial reports**
- ➔ Add **visuals** that show comparisons, trends, and projections
- ➔ **Answer questions** in a standardized and timely manner
- ➔ Implement **spending and position controls**
- ➔ Support schools and departments in **budget monitoring**
- ➔ Prepare **executive summary** of the prior year **Annual Comprehensive Financial Report** (ACFR)

Informational Sessions

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Interest-Driven Topics

Major Revenue Components

- General Fund (State School Fund, Levies)
- State Grants (SIA, HSS)
- Federal Programs
- Bonds

Major Cost Drivers

- Education as a Service Business
- Public Employee Retirement System (PERS)
- Operational Scenarios
- Capital Projects and Planning
- Curriculum (adoption, implementation, sustaining)

Questions & Discussion

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